

Everyone, that is, except the mutual fund portfolio managers watching. They are reminded, painfully, of every day at the office. Trying to keep current on fifty or a hundred and fifty stocks in a mutual fund, while studying new ones, can be a plate-spinning nightmare. The manager is forever hastening from crisis to crisis, with some position always on the edge of a crash, with results that may be anything but hilarious for the fund shareholders.

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Every stock in a portfolio is a spinning plate, cranked up with security analysis instead of energy. Since this analytic work must factor in political, economic, and market variables as well as corporate developments, keeping all one's stocks in the air at once is a prodigious job. And the world is crueler than is evident, for portfolio management theory demands that the risks and rewards of each stock be constantly compared with those of every other stock, both those within the portfolio and all other possibilities. The truth is, it can't be done: no organization, no matter how large, can keep that many plates spinning. At Acorn, for example, we could hire a very large staff of analysts to cover more companies, but large organizations usually haven't had very good results as fund managers. Superior analysts are rare, and funds seem to do well only so long as the decisions are made by a small group of talented people.

The bottom-up stock picker, who selects his stocks one by one, ending up with the one hundred best picks regardless of industry or risk classification, must feel like the ultimate plate spinner. I prefer the greater control and the selectivity of a "top-down" portfolio management philosophy. I look for areas of the market that seem to